Birla Cable Ltd

Concall tracker · Q2 FY27 (quarter to Sep 2026) · filed under Q2-2027 · NSE: BIRLACABLE · BSE: 500060

1. Snapshot

What it does: An MP Birla group company in Rewa, Madhya Pradesh, that makes telecom cables: optical fibre cables (OFC, the glass cables that carry internet traffic) and copper structured LAN cables (the cables inside offices and buildings), plus speciality and railway communication cables. It sells to telecom operators, network builders and enterprise buyers in India and exports some fibre cable. It is being merged into its sister company Vindhya Telelinks.

Number	Value	Plain read
Market cap	₹995 cr	What the whole company is worth on the market today.
P/E	about 12x	Cheap on the last year's profit, but that profit only arrived in the last two quarters.
FY26 sales	₹771 cr	Up about a sixth on FY25, all from copper LAN cables; fibre cable sales fell.
Q2 FY27 sales	₹355 cr	About double the same quarter last year and a record by far.
Q2 FY27 operating margin	15%	About ₹15 of operating profit per ₹100 of sales, against ₹4-6 for most of the past three years.
Q2 FY27 net profit	₹38 cr	More than its whole FY26 profit (₹17 cr) in one quarter.
Borrowings	₹106 cr (Sep 2026)	Down from ₹133 cr in March; loans being repaid out of the new profit.
Promoter holding	66.4%	Unchanged for years.

2. Coverage

No concall transcripts were available on Screener, and none are filed on NSE/BSE or the company website. This report is based on a global web deep-dive.
Sources used: FY26 annual report and management discussion (22 May 2026); Q2 FY27 results filing (5 Nov 2026); CARE Ratings rationale (1 Apr 2026); results summaries on arthneeti.com, sahi.com, multibagg.ai and JM Financial; Screener.in financials. The company holds no earnings calls and gives no guidance, so the consistency read leans on its annual-report outlook against what followed.

2b. Latest update highlights · Q2 FY27 results (5 Nov 2026)

- **Results:** sales ₹355 cr, up about 102% on a year ago; profit ₹38 cr against under ₹1 cr. Second straight record quarter after Q1 (₹267 cr sales, ₹31 cr profit).
- **Why:** the company gave no product split. Its annual report (May 2026) said FY27 "has begun on a strong note for the Optical Fibre Cable business, with both demand and pricing reaching record levels", pulled by hyperscale data centres and AI networks abroad, while copper LAN cables were already at a record in FY26.
- **Merger:** in Q2 the company got no-objection letters from NSE and BSE for its merger into Vindhya Telelinks (10 Vindhya shares for every 115 Birla Cable shares). Tribunal and shareholder approvals are still to come; CARE expected 10-12 months from March 2026.
- **Cash:** repaid about ₹27 cr of loans in the half year with no new long-term borrowing.

2c. Business mix & capacity
Product mix (FY26): copper LAN cables ₹663 cr, about 86% of sales; fibre cable only ₹106 cr. Plain read: last year it was really a copper LAN business.
Domestic vs export: foreign-exchange earnings were ₹87 cr in FY26, about 11% of sales; of the fibre cable sold,

₹78 cr was exported. Plain read: mostly India, but fibre sales lean on exports.
Capacity utilisation: not disclosed. CARE flagged low fibre-plant use in FY26 as a weak spot.

3. Earning-trigger thesis ★

The trigger is a fibre-cable upcycle the company does not control. After a deep global slump that hit fibre demand and prices through FY26, demand and prices turned from late March 2026 on the back of data centres, AI networks, drone use and BharatNet rural broadband. Birla Cable's fibre plants, idle for much of last year, now sell into that, on top of a copper LAN business that kept growing. Results show it: margins have roughly tripled for two quarters. The open questions are how long fibre prices hold, and the merger, which means shareholders will soon own a slice of Vindhya Telelinks, a bigger and more debt-heavy cables-plus-EPC group, not this business alone.

Trigger	What the company said	Evidence so far	Time horizon	Strength
Fibre-cable demand and price upcycle	"Demand and pricing reaching record levels... likely to continue in the near to medium term" (AR, May 2026)	Sales doubled, margin about 15-17% in Q1-Q2	Now	Moderate: real, but a price cycle
Copper structured LAN cables	Highest-ever revenue in FY26; "well positioned to continue"	FY26 LAN sales up about 29%	Ongoing	Moderate: steady, low margin
Merger into Vindhya Telelinks	To simplify structure and run more efficiently	Exchange approvals in hand	Early-mid 2027	Neutral: changes what you own

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Loans were repaid (results filing), but the company made no statement of a debt-cut plan.
New business	No	No new line or market announced.
Margin up	Yes	OFC "demand and pricing reaching record levels" at the start of FY27 (Annual report, May 2026).
New management	Yes	CEO R. Sridharan resigned in Jan 2026; Somesh Laddha appointed Manager and CEO (May 2026).
New capacity	No	No expansion announced.
Big orders	No	No order book disclosed.
Turnaround	Yes	"Demand for Optical Fibre Cables has shown signs of revival since late March 2026" after a "deep global dearth" (Annual report, May 2026).
Promoter buying	No	Promoter stake unchanged.

Single concrete driver: global fibre-cable demand and prices hit record levels from April 2026 on data-centre and AI network building, filling Birla Cable's under-used fibre plants.

3c. Margin bridge

Operating margin is about 15-17% for Q1-Q2 FY27 against 4-5% a year ago. The annual report puts this on record fibre-cable demand and prices; CARE had blamed the earlier squeeze on "steep price corrections in the OFC segment" and a bigger share of low-margin copper cable. This is the industry price cycle turning, so it lasts only as long as fibre stays tight. (one-off)

3d. Management change

CEO R. Sridharan resigned with effect from 19 Jan 2026. The board appointed Somesh Laddha as Manager and CEO in May 2026. The annual report gives no detail of his background or plans.

4. Management consistency scorecard

Period	What was said	What actually happened	Verdict
FY26 annual report (May 2026)	Fibre demand reviving since late March, "poised to strengthen" in FY27	Q1 and Q2 FY27 sales up 51% and 102%, margins tripled	Delivered
FY26 annual report	LAN cable business to keep growing	No split given for FY27	Too early
Mar 2026 board	Merger into Vindhya Telelinks, appointed date 1 Apr 2026	NSE/BSE no-objection in Q2; tribunal pending	On track

Narrative drift: there's little to drift because the company says little: no calls, no guidance, no targets. Its one forward view, that fibre would recover in FY27, came true quickly. That's a fair read of the market, not a company-specific promise kept.

5. Bottom line

Durable earning trigger? → MAYBE

The jump in profit is real and large, but it comes from a fibre price cycle the company doesn't set. There's no new capacity, order book or product behind it, and fibre has swung from boom to bust before. The pending merger also means the stock turns into Vindhya Telelinks shares, so the payoff depends on that combined group.

Management consistent? → MAYBE

Nothing promised has been missed, and the annual-report outlook proved right. But with no calls and no targets there's very little to hold management to, and a new CEO joined this year.

6. Checkpoints for next quarter

- Operating margin stays near the Q1-Q2 level in Q3
- Sales stay above the year-ago level by a wide margin
- Tribunal hearing on the Vindhya Telelinks merger moves ahead

Sources: Birla Cable Annual Report FY2025-26 (BSE); Q2 FY27 results filing, 5 Nov 2026 (BSE); CARE Ratings press release, 1 Apr 2026; arthneeti.com, sahi.com, multibagg.ai and jmfinancialservices.in results summaries; Screener.in. Not investment advice.